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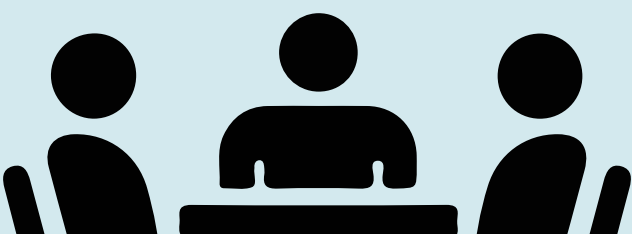
ANALYSING CORPORATE DOWNFALL DHFL EDITION!

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INTRODUCTION

DHFL had over thirty years of experience in the housing financing sector. As of December 31, 2018, its assets under management (AUM) stood at Rs 126,720 crore (up from Rs 130,182 crore on September 30, 2018) when viewed independently. In addition, the company was well-known in the affordable home finance sector. As of December 31, 2018, the majority of its network of 352 branches was made up of low- and middle-class consumers in Tier II and Tier III cities, where it continued to concentrate on offering lending choices. About 57% of loans, or loans against property (LAP), 21% of loans towards project loans, 17% of loans towards small and medium-sized business (SMEs) were made up of AUM mix. It had been embroiled in a massive financial scandal worth over Rs 34,000 crore. The scam involved accusations of loan fraud, money laundering, and a web of fake borrowers and shell companies.

REASONS FOR DHFL DOWNFALL

CORPORATE GOVERNANCE SCAM

DHFL was into sanctioning and paying of funds in dubious and unsecured loans and as per the guidelines of RBI, the loans can be granted only and only after a collateral security, or a property is mortgaged i.e., to have lien over the property till the debt is paid off. DHFL used to borrow the funds from the Banks and then disburse the same to shell companies. By resorting to this method, DHFL had ensured that it is just impossible to recover the amount from these shell companies as such shell companies or their directors did not own any assets.

Investigations by the Serious Fraud Investigation Office (SFIO) and the Enforcement Directorate (ED) revealed that DHFL had allegedly diverted over Rs 31,000 crore to shell companies linked to its promoters. On 22nd June 2022, the Central Bureau of Investigation (CBI) had booked DHFL and its Directors Kapil Wadhawan and Dheeraj Wadhawan including others (associated with DHFL) for defrauding around 17 banks to the tune of more than Rs. 31,000 crores.

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There was unnecessary interference of the promoters of the company in the activities of the Board of Directors. Though the Board of Directors of DHFL comprised of statutory independent directors, but ultimately the decision of the promoters prevailed that led to the downfall of DHFL.

When a journalism company like Cobra was able to uncover the scam, then what was stopping the appropriate authorities in unearthing the fraud of DHFL?

How is it possible that the auditors of the company could not unearth the viability of the shell or fictitious companies?

How is it possible that the Board of Directors of DHFL, which also comprised of independent directors could not understand the direction in which the company was going?

ASSET LIABILITY MISMATCHED - LIQUIDITY CRISIS

DHFL's reliance on short-term borrowing to fund long-term loans became unsustainable after the IL&FS crisis in 2018. According to its 2019 annual report, DHFL had a significant portion of its liabilities maturing within a year, with limited liquid assets available to meet these obligations. The company's inability to roll over its debt and raise new funds led to defaults on its interest payments in June 2019.

ICRA lowered DHFL's short term paper rating from A4+ to A3 on May 13, 2019. This came about as a result of the company's liquidity profile declining. As of April 30, 2019, the liquidity buffer stood at Rs 2,775 crore, down from Rs 3,982 crore on April 11th. The concentration risks associated with DHFL's loan book, which has a 17% exposure to the building industry, are also mentioned. Additionally, DHFL had begun to award less housing loans and more project loans. Housing loans fell from 55% to 48% between March 2018 and December 2018. Most of the project loan book was under moratorium, and it was a recent addition.

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Rating history for last three years

ICRA

Sl No	Instrument	Type	Current Rating (FY2020)		May-19	Chronology of Rating History for the Past 3 Years						FY2018	FY2017
			Amount Rated (Rs. crore)	Amount Outstanding (Rs. crore)		FY2020	FY2019						
						Apr-19	Feb-19	Feb-19	Dec-18	May-18	Oct-17	Dec-16	
1	Commercial paper programme	Short term	850	850		[ICRA]A4@	[ICRA]A3+@	[ICRA]A2+@	[ICRA]A2+@	[ICRA]A1+@	[ICRA]A1+	[ICRA]A1+	[ICRA]A1+

@ On Positive Watch with Negative Outlook

CRISIL

Instrument	Type	Current		2019 (History)		2018		2017		2016		Start of 2016
		Outstanding Amount	Rating	Date	Rating	Date	Rating	Date	Rating	Date	Rating	Rating
Commercial Paper	ST	850.00	CRISIL D	11-05-19	CRISIL A4+/Watch Negative	30-11-18	CRISIL A1+	27-10-17	CRISIL A1+		--	--
				17-04-19	CRISIL A3+/Watch Negative	06-11-18	CRISIL A1+					
				22-03-19	CRISIL A2+/Watch Negative	07-05-18	CRISIL A1+					
				27-02-19	CRISIL A1/Watch Negative							
				02-02-19	CRISIL A1+/Watch Negative							
Short Term Debt	ST							11-07-17	CRISIL A1+	07-07-16	CRISIL A1+	CRISIL A1+
Short Term Deposit	ST		--	22-03-19	Withdrawal	30-11-18	CRISIL A1+	27-10-17	CRISIL A1+	07-07-16	CRISIL A1+	--
				27-02-19	CRISIL A1/Watch Negative	06-11-18	CRISIL A1+	11-07-17	CRISIL A1+			
				02-02-19	CRISIL A1+/Watch Negative	07-05-18	CRISIL A1+					

REGULATORY & MARKET ENVIRONMENT

In 2018, another major NBFC, IL&FS, went bust, causing alarm bells to ring throughout the industry. Banks became much more careful about lending money to NBFCs. But this led to a liquidity crunch, since there was limited access to credit. Many NBFCs rely on short-term borrowing to finance long-term lending, which puts them in a difficult spot when there is a liquidity crunch. In September 2018, after the IL&FS crisis emerged, DHFL's stock also took a hammering, by as much as 60%.

DHFL's business model was heavily reliant on lending to the real estate sector, particularly for affordable housing projects. During the years leading up to its bankruptcy, the Indian real estate market faced a significant slowdown due to regulatory changes such as the implementation of the Real Estate (Regulation and Development) Act (RERA) in 2016 and the introduction of the Goods and Services Tax (GST) in 2017. These regulations, while aimed at increasing transparency and reducing black money in real estate, initially caused disruptions in the market. The slowdown in real estate transactions reduced the demand for housing loans, which in turn affected DHFL's revenue stream and asset quality.

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Non-Performing Assets (NPAs)

DHFL's financial statements from FY 2017-18 to FY 2018-19 show a significant rise in NPAs. By March 2019, the gross NPAs had surged to over Rs 9,900 crores, representing nearly 10% of its loan book. This dramatic increase in NPAs indicates severe stress in the company's asset quality.

PROBABILITY OF REASONS

Variable	Impact	Evidence	Cascading Effect	Probability
Competition: Price wars and new technology disruptions	0	0	0	0.00%
Leverage: High debt levels	8	10	8	15.12%
Promoter Leverage: Financial exposure of company promoters	2	8	2	6.98%
Capital Market Leverage: Impact of share price fluctuations	5	7	2	8.14%
Commodity Market Downturn: Effects of margin cycles	7	8	7	12.79%
Business Cycle Downturn: Revenue slowdown	0	0	0	0.00%
Global slowdown	0	0	0	0.00%
Regulatory Issues: Compliance and legal challenges	3	10	2	8.72%
Government Receivables: Delayed payments from government entities	0	0	0	0.00%
Governance: Corporate governance issues and fraud	9	8	9	15.12%
Financial Cycle: Rollover of finance and asset-liability management issues	9	10	8	15.70%
Poor Underwriting as Financiers: Ineffective lending practices	10	10	10	17.44%
Poor Business and Strategy: Strategic missteps and operational failures, management competence	0	0	0	0.00%
TOTAL	53	71	48	100.00%

For calculating the probability, we have scored the variables on three parameters. **Impact** measures the overall impact of the variable on the crisis and on the stakeholders involved. **Evidence** measures the verifiability of the variables in the DHFL scenario, whether we can corroborate the variable with some data, or credible news. **Cascading Effect** measures the pulling effect of the variables to damage other variables involved. Top 04 reasons are highlighted in the above table. Scores have been given based on the reasons of the failure we mentioned in the report.

TRANSITION TIME

- April 2019: CRISIL downgraded DHFL's rating from "AA+" to "A" due to concerns about liquidity and asset quality.
- May 2019: CRISIL further downgraded DHFL to "BBB-," indicating a moderate risk of default.
- June 2019: Following DHFL's default on debt obligations, CRISIL downgraded the rating to "D" (default grade), the lowest rating, indicating that DHFL had defaulted on its debt payments.

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- February 2019: ICRA downgraded DHFL from "AA+" to "A," reflecting increasing concerns about liquidity management.
- April 2019: ICRA further downgraded the rating to "BBB-" due to escalating liquidity concerns and deteriorating asset quality.
- June 2019: After DHFL defaulted on its debt payments, ICRA downgraded the company to "D," indicating a default.

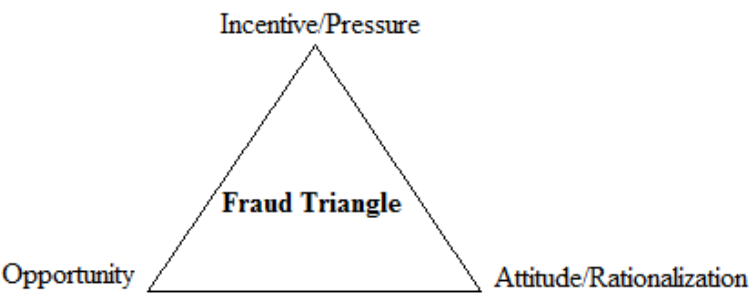
WHAT HAPPENED NEXT!

The lenders recovered a total of Rs 34,250 crore through the acquisition of DHFL by the Piramal Group. This recovery included Rs 14,700 crore in upfront cash (including cash on DHFL's balance sheet) and a deferred component of Rs 19,550 crore in non-convertible debentures. However, it should be noted that this recovery was significantly lower than DHFL's total debt of Rs 90,000 crore, indicating that lenders faced substantial losses.

The businesses are surviving and have undergone a significant transformation under Piramal Group's leadership. Following the merger, the combined entity has focused on stabilizing operations, particularly by leveraging DHFL's extensive retail customer base to ensure steady cash flow. This strategic shift towards retail and affordable housing has positioned the company to capitalize on emerging market opportunities, particularly in the growing affordable housing segment. The transition has also involved retaining DHFL's workforce and bolstering the company's capital base with a substantial equity infusion, which has helped improve the overall credit profile and operational resilience of the merged entity.

EXHIBIT

FORENSIC ACCOUNTING



Fraud Triangle

- 1.Incentive: The Wadhawan brothers, the promoters of DHFL, likely wanted to maintain their opulent lifestyle.
- 2.Opportunity: DHFL's intricate financial network, involving numerous shell companies and subsidiaries, combined with absence of robust internal controls and risk management systems provided ample opportunities for siphoning off funds.
- 3.Rationalization: A sense of entitlement, believing that they deserved the wealth generated, could have fuelled their actions.

Altman Z Score

Year	X1	X2	X3	X4	X5	Altman Z Score
2018-19	0.56	0.07	0.078	0.076	0.12	1.193
2017-18	0.94	0.08	0.089	0.087	0.1	1.6859
2016-17	0.056	0.11	0.11	0.087	0.096	0.7324

Beneish M-Score

8 Factor Beneish M Score	2019	2018	2017	2016	2015
DSRI	10.699	0.096	72.177	1.168	0.486
GMI	1.056	0.883	1.003	1.020	0.939
AQI	0.382	193.772	1.163	1.040	0.990
SGI	0.839	0.824	0.826	0.818	0.831
DEPI	0.518	3.222	1.068	1.115	0.458
SGAI	0.829	0.872	1.211	1.036	0.931
TATA	0.072	0.182	0.202	-0.181	0.239
LVGI	0.988	0.990	1.015	0.989	1.006
M Score	6.40	75.48	63.83	-3.30	-2.07

